

Opening Application: The Gold Campaign



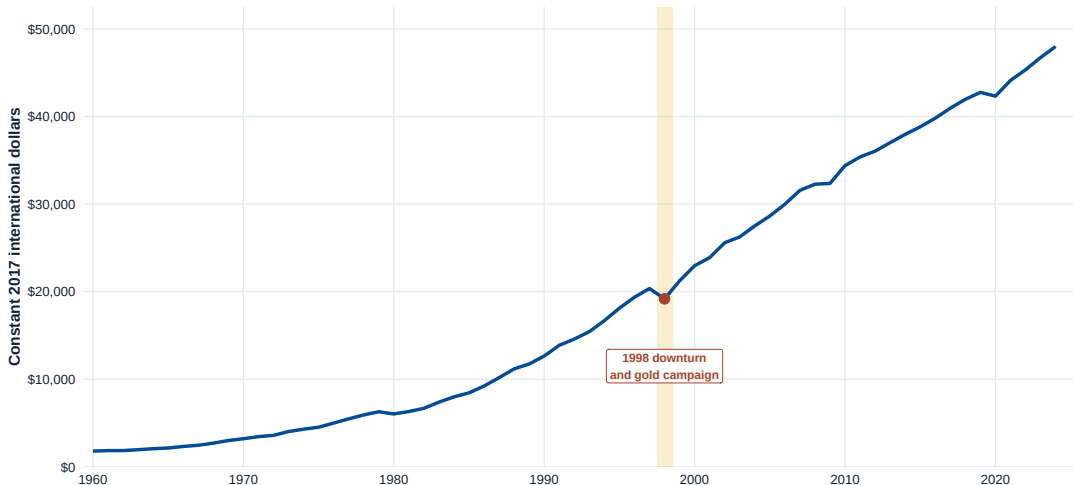
- ▶ From January 5 through March 14, 1998, almost 3.5 million people participated.
- ▶ Banks collected 226 metric tons of gold, valued at about \$2.2 billion.
- ▶ Most of the gold was exported to generate foreign currency.

How can household jewelry become part of a national recovery?

Source: Photograph: National Archives of Korea, via Wikimedia Commons, CC BY SA 4.0. Data: World Bank, *The Korean Financial Crisis of 1997*, p. 114.

Long Term Economic Growth in South Korea

Real GDP per person, 1960 through 2024



Source: Gapminder GDP per capita version 27. Constant 2017 international dollars adjusted for purchasing power.

International Macroeconomics: Korea's Crisis

- ▶ **Before the crisis:** Korean banks borrowed foreign currency for short periods and financed longer term domestic projects.

Source: IMF, From Crisis to Recovery in Korea; World Bank, The Korean Financial Crisis of 1997.

Business Cycles: Expansion and Recession

- ▶ An **expansion** is a period when output and employment are rising.
- ▶ A **recession** is a period when output and employment are falling.
- ▶ A **peak** begins a recession. A **trough** begins an expansion.

Macroeconomic Policy: Eccles and Volcker



Marriner Eccles, 1934 to 1948

Led the Federal Reserve during the Depression and wartime financing.
Supported a stronger public response to weak demand.



Paul Volcker, 1979 to 1987

Led monetary tightening to reduce entrenched inflation. Disinflation came with substantial unemployment and recession costs.

Source: Photographs: © Associated Press, via Federal Reserve History. Biographies: Marriner S. Eccles and Paul A. Volcker. Dates refer to leadership of the Board.

Macroeconomic Policy: Why Stability Matters

- ▶ **Uncertainty:** Large swings make future sales, jobs, prices, and borrowing costs harder to predict.
- ▶ **Investment decisions:** When a factory or project is costly to reverse, firms may wait. Less investment today can reduce future productive capacity.

Source: ECB, Firms' Investment Decisions in Response to Demand and Price Uncertainty; IMF, Fiscal Policy: Taking and Giving Away. Government choices are a classroom application of fiscal constraints.